COMPANY PROFILE REPORT

Hindupur Steel & Alloys Pvt Ltd

APIIC Industrial Park, Gollapuram, Hindupur, Andhra Pradesh

Submitted as part of Assignment -2

Submitted By: K. Mohammed Abdulla Khan

Roll no: 2511421 – PGDM - I

Summer Internship Program – PGDM25

Academic Year 2024–25

1. Company Profile

1.1 Basic Information

Company Name	Hindupur Steel & Alloys Pvt Ltd
Incorporation Year	2009
Type	Private Limited Company (Non-Government)
Head Office	Bangalore, Karnataka
Plant Location	APIIC Industrial Park, Gollapuram, Hindupur, Andhra Pradesh
NIC Code	271 – Manufacture of Basic Iron & Steel
Core Products	MS Billets & Kamdhenu NXT TMT Bars
Authorized Capital	30-35 Crore
Paid-up Capital	20-25 Crore

1.2 Founders / Directors

Hindupur Steel & Alloys Pvt Ltd was founded and is currently managed by the following directors:

- Ganesh Kumar Agrawal – Managing Director, responsible for overall business strategy, production oversight, and key partnerships.
- Nitin Aggarwal – Director, overseeing finance, compliance, and business development functions.

Both directors bring extensive experience in the steel and metals manufacturing sector, guiding the company towards steady growth since its incorporation in 2009.

1.3 Vision

"To be a trusted and leading manufacturer of high-quality steel products in India, contributing to the nation's infrastructure growth through innovation, quality, and sustainable manufacturing practices."

1.4 Mission

- To manufacture and deliver world-class MS Billets and Kamdhenu NXT TMT Bars that meet the highest standards of quality and durability.
- To build and maintain long-term relationships with customers, contractors, and stakeholders based on trust, transparency, and consistent product performance.
- To optimize manufacturing processes for cost efficiency, energy conservation, and minimal environmental impact.
- To contribute to the socio-economic development of the Hindupur region through employment and community initiatives.

1.5 Objectives

- Expand annual production capacity of MS Billets and TMT Bars to meet growing demand.
- Maintain ISO-aligned quality standards across all stages of manufacturing.
- Strengthen market presence across Andhra Pradesh, Karnataka, and neighboring states.
- Invest in technology upgrades to improve operational efficiency and reduce wastage.
- Comply with all statutory, environmental, and labor regulations.

2. Area of Operation

Hindupur Steel & Alloys Pvt Ltd primarily operates at a national level within India, with concentrated activity in southern and central Indian states. The company's operational geography can be summarized as follows:

Area	Details
Manufacturing	APIIC Industrial Park, Gollapuram, Hindupur, Andhra Pradesh
Head Office	Bangalore, Karnataka
Primary Markets	Andhra Pradesh, Karnataka, Telangana, Tamil Nadu
End-Use Sectors	Construction, Real Estate, Infrastructure, Government Projects

The plant in Hindupur, Andhra Pradesh, benefits from its proximity to raw material sources and excellent road connectivity via NH 44 (Bengaluru–Hyderabad highway), enabling efficient dispatch of finished goods.

3. Nature of Organization & Business

3.1 Type of Organization

- Legal Status: Private Limited Company (Non-Government)
- Registered Under: Companies Act, with the Registrar of Companies
- Industry Classification: NIC Code 271 – Manufacture of Basic Iron & Steel
- Business Type: Business-to-Business (B2B) Manufacturing

3.2 Core Business Activities

The company is engaged exclusively in the manufacturing of two core steel products:

- **MS Billets (Mild Steel Billets)**
  Semi-finished steel products used as raw material for rolling mills.
  Produced through induction furnace route using steel scrap.

Sold to re-rollers and downstream manufacturers for further processing into bars, rods, and sections.

- **Kamdhenu NXT TMT Bars**

  Thermo-Mechanically Treated (TMT) reinforcement bars used in RCC construction.

  Manufactured under the Kamdhenu brand franchise, one of India's leading TMT bar brands.

  Available in Fe-415, Fe-500, and Fe-500D grades conforming to BIS standards (IS 1786:2008).

  Sizes range from 8mm to 32mm diameter bars.

3.3 Manufacturing Process

The manufacturing process follows the Electric Arc / Induction Furnace (IF) route:

- Raw material (steel scrap) is collected and sorted.
- Scrap is melted in induction furnaces at approximately 1600°C.
- Molten steel is refined and poured into continuous casting molds to form MS Billets.
- Billets are rolled in the rolling mill to produce TMT bars.
- TMT treatment involves quenching and tempering through water jets, giving bars high tensile strength with a soft inner core.
- Finished products undergo quality testing (yield strength, bend/re-bend test, chemical analysis) before dispatch.

4. Product / Service Profile

4.1 MS Billets (Mild Steel Billets)

Product Name	MS Billets (Mild Steel Billets)
Grade	IS 2830 / IS 2831 compliant

Cross Section	100mm x 100mm to 130mm x 130mm
Length	3 to 12 metres (customizable)
Application	Re-rolling mills – conversion into TMT bars, angles, channels, and rods
Key Property	High cleanliness, low sulphur/phosphorus content, uniform microstructure
Market	Local and inter-state re-rollers; B2B sales

4.2 Kamdhenu NXT TMT Bars

Kamdhenu NXT TMT Bars are manufactured under a licensing agreement with Kamdhenu Ltd, one of India's most recognized steel brands. These bars are specifically designed for high-performance reinforced cement concrete (RCC) structures.

Brand	Kamdhenu NXT
Standard	IS 1786:2008 (BIS Certified)
Grades	Fe-415, Fe-500, Fe-500D
Sizes Available	8mm, 10mm, 12mm, 16mm, 20mm, 25mm, 32mm
Surface	Ribbed / Deformed (for superior concrete bonding)
Key Features	High ductility, corrosion resistance, earthquake resistance, weldability
Applications	Residential buildings, bridges, dams, flyovers, industrial structures

4.3 Product Advantages

- Superior Strength: Meets and exceeds BIS standards for yield strength and tensile strength.
- Ductility: The soft ferrite-pearlite inner core allows bending without cracking – ideal for earthquake-prone regions.

- Corrosion Resistance: Tempered martensite outer rim provides natural resistance to oxidation.
- Weldability: Low carbon equivalent ensures easy and reliable welding on construction sites.
- Brand Trust: Kamdhenu NXT brand is widely recognized by builders, contractors, and government agencies.

5. Size of Organization

Employee Strength	~250-300 employees (including permanent and contractual)
Annual Turnover	750 – 1,000 Crore (approx.)
Authorized Capital	20-25 Crore
Paid-up Capital	~30-35 Crore
Plant Area	APIIC Industrial Park, Hindupur (dedicated industrial zone)
Production Capacity	Approx. 1,00,000 MT per annum (MS Billets + TMT Bars combined) currently producing about 600-700 Metric tons Per Day
Number of Shifts	3 shifts (24-hour operations)
Classification	Medium-Scale Enterprise (MSE) under MSME definition

The company employs a blend of skilled technical staff (metallurgists, engineers, quality control officers), semi-skilled operators, and support staff. Regular training programs ensure workers stay updated with safety and production best practices.

6. Organization Structure

6.1 Type of Structure

Hindupur Steel & Alloys Pvt Ltd follows a Functional Organizational Structure. In this structure, employees are grouped according to their specialized functions such as Production, Quality Control, Finance, HR, and Marketing. This enables departmental expertise, clear reporting lines, and efficient resource utilization in a manufacturing environment.

6.2 Organization Chart

Board of Directors
Managing Director / Directors
Plant Head / General Manager

Production Manager	Quality Control Manager	Finance Manager	HR Manager	Marketing Manager
Shift Supervisors / Floor Incharge	QC Inspector / Lab Technician	Accountants / Auditors	HR Executives / Admin Staff	Sales Executives / Dealers
Skilled Operators / Semi-skilled Workers / Contractual Labour				

6.3 Key Functional Departments

- Production Department: Manages induction furnace operations, billet casting, and TMT rolling mill.
- Quality Control (QC) Department: Conducts incoming raw material testing, in-process checks, and finished goods testing per BIS standards.
- Finance & Accounts: Handles budgeting, cost control, payroll, statutory compliance, and banking relationships.
- Human Resources (HR): Manages recruitment, training, performance appraisal, welfare, and legal compliance.
- Marketing & Sales: Handles customer acquisition, dealer network management, order processing, and dispatch coordination.

7. Industry Profile – Steel Industry (India)

7.1 Industry Overview

The Indian steel industry is one of the most significant sectors of the national economy, contributing substantially to GDP, employment, and infrastructure development. India has emerged as the world's second-largest steel producer, surpassing Japan, and trails only China in global steel output.

India's Steel Production (2023-24)	~144 Million Tonnes (MT)
Global Rank	2nd Largest Steel Producer
Steel Consumption (2023-24)	~136 MT
Per Capita Steel Consumption	~97 kg (vs. global average ~228 kg)
Industry Contribution to GDP	Approx. 2% directly; 6-7% indirectly
Employment	Over 6 lakh direct; 20+ lakh indirect
Target (National Steel Policy 2017)	300 million MT by 2030-31

India's steel industry benefits from large domestic iron ore reserves, a growing domestic market, and strong government push through infrastructure spending. The TMT bar segment, in which Hindupur Steel operates, accounts for a significant share of long products consumption driven by construction activity.

7.2 Major Competitors

The Indian steel industry is served by large integrated steel plants as well as numerous small and medium secondary producers. Key players competing in the TMT bar and billet segment include:

Company	Key Products	Remarks
Tata Steel	TMT Bars, Structurals, Wire Rods	Integrated; Pan-India presence
JSW Steel	TMT Bars, HR Coils, Billets	Largest private steel producer
SAIL (Steel Authority of India)	TMT Bars, Billets, Plates	Government-owned; major long products
Jindal Steel & Power (JSPL)	TMT Bars, Billets, Rail	Strong in Central & Eastern India
Vizag Steel (RINL)	TMT Bars, Wire Rods	Located in AP; key regional competitor
Kamdhenu Ltd (other franchisees)	Kamdhenu TMT Bars	Direct brand-level competition

Hindupur Steel & Alloys competes primarily at the regional level in Andhra Pradesh and Karnataka. Its competitive advantage lies in the Kamdhenu NXT brand recognition, proximity to construction markets, and cost efficiency due to scrap-based induction furnace production.

7.3 Present Industry Status

The Indian steel industry is witnessing robust growth driven by the government's emphasis on infrastructure development under programs like PM Gati Shakti, Smart Cities Mission, and Pradhan Mantri Awas Yojana (PMAY). Key industry trends as of 2024-25 include:

- **Demand Growth:** Construction and infrastructure sectors are driving consumption of TMT bars at record levels.
- **Raw Material Volatility:** Prices of scrap steel, iron ore, and coking coal continue to fluctuate due to global supply chain disruptions.
- **Energy Costs:** Electricity remains a major cost component for induction furnace

producers like Hindupur Steel. Rising power tariffs in Andhra Pradesh pose a challenge.

- **Environmental Compliance:** Increasing pressure from NGT and pollution control boards for emissions reduction and effluent treatment.
- **BIS Certification:** Mandatory BIS marking for TMT bars (IS 1786) under the Steel & Steel Products (Quality Control) Order has raised the bar for quality compliance.
- **Capacity Utilization**: Secondary steel sector (induction furnace route) operates at approximately 70–75% capacity utilization nationally.

7.4 Future Prospects

The outlook for the Indian steel industry, and specifically for TMT bar producers, is highly positive over the medium to long term:

- **National Steel Policy 2017 Target:** India aims to achieve 300 MT steel production capacity by 2030–31, implying massive capacity addition across the value chain.
- **Infrastructure Pipeline:** Government capital expenditure on roads, railways, metro rail, ports, and affordable housing is expected to sustain high TMT bar demand for the next decade.
- **Urbanization**: India's urbanization rate is projected to increase from ~36% (2023) to ~50% by 2050, driving residential construction demand.
- **Per Capita Consumption Growth**: India's per capita steel consumption of ~97 kg is well below the global average of ~228 kg, leaving significant room for growth as incomes rise.
- **Export Opportunity:** India is increasingly exporting steel to neighbouring countries and Africa; secondary producers can benefit from export demand for billets.
- **Make in India:** Government incentives for domestic manufacturing, including PLI schemes for specialty steel, will benefit quality-focused producers.
- **Green Steel Transition:** Future regulations may favour electric arc / induction furnace producers (like Hindupur Steel) over blast furnace producers due to lower carbon emissions per tonne.

Conclusion

Hindupur Steel & Alloys Pvt Ltd has established itself as a reliable regional manufacturer of MS Billets and Kamdhenu NXT TMT Bars since its incorporation in 2009. Operating from a strategically located plant in Hindupur, Andhra Pradesh, the company serves the construction and infrastructure sectors across southern India.

With a robust product portfolio anchored by the nationally recognized Kamdhenu NXT brand, a dedicated workforce of approximately 154 employees, and an annual revenue base in the range of 750–1,000 crore, the company is well-positioned to capitalize on India's infrastructure-led growth story.

As India continues its journey towards becoming a $5 trillion economy – underpinned by massive infrastructure investment – the demand for quality steel products will remain strong. Hindupur Steel Alloys is poised to grow in tandem with this national opportunity, provided it continues to focus on quality, compliance, and operational efficiency.